CONFIDENTIAL & PROPRIETARY

ACE CONSTRUCTION & CONTRACTING LLC

COMPREHENSIVE CAPITAL PROSPECTUS

Prepared for: Institutional Lenders, Federal Grant Program Officers, Accredited Investors, Strategic Partners

Date: September 8, 2026

Jurisdiction: North Carolina / Delaware

Contact: ACE Construction & Contracting LLC
www.ace-construction.vercel.app

CONFIDENTIALITY NOTICE

This Business Capital Prospectus is STRICTLY CONFIDENTIAL and proprietary. It is furnished solely for review by prospective institutional lenders, federal grant program officers, accredited investors, and strategic partners specifically identified by ACE Construction & Contracting LLC.

This document contains:

- Proprietary operational methodologies
- Financial models and projections
- Technological architectures
- Competitive positioning data
- Strategic partnership opportunities

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1. EXECUTIVE SUMMARY

THE PROBLEM

85% of trade contractors track jobs on paper and text messages. This inefficiency costs them 8–12% per job in direct margin loss: disputed change orders, delayed payroll reconciliation, rework, and compliance gaps.

A secondary problem compounds the issue: federal IRA energy rebates and 179D tax incentives require rigorous photo documentation of every air seal and insulation cavity. Unverified work fails inspection and the contractor forfeits the rebate entirely.

A third structural problem: traditional sureties will not bond small contractors without $1M+ in liquid net worth. This effectively locks them out of municipal and school construction contracts—precisely the most profitable work available.

OUR SOLUTION

ACE Construction operates a dual-revenue model combining hands-on commercial general contracting with a software-as-a-service platform called ACE Field OS.

ACE Field OS solves the verification and compliance problem through:

- Geotagged photographic documentation of every job milestone
- Timestamped inspection checklists aligned to ASHRAE 90.1 and ENERGY STAR standards
- Automated audit trails that satisfy federal rebate documentation requirements
- SBA surety bond qualification support through documented compliance evidence

Result: We eliminate the 8–12% margin leakage and unlock access to $9M+ in bonded public works contracts.

THE OPPORTUNITY

- **Total Addressable Market (TAM):** $1.8 trillion annual U.S. construction spending
- **Serviceable Addressable Market (SAM):** $85 billion in commercial tenant improvement and residential energy retrofit work across the Southeast
- **Serviceable Obtainable Market (SOM):** $25 million in addressable regional specialty contracting work (NC/VA, 3-year horizon)

LIVE PRODUCT & STRATEGIC POSITION

Vercel Deployment: https://con-001-ace-construction.vercel.app
GitHub Repository: https://github.com/Worldwidebro/con-001-ace-construction

Strategic Goal: Turn construction opportunities into profitable completed projects. CON-001 services all ventures (RE-001 renovations, LT-005/LT-011 facilities, OPS-001 offices) while operating as an independent revenue engine.

Portfolio Architecture:

```
VEX (Portal) → WORLDWIDEBRO HOLDINGS
            ↓
      VENTURE PORTFOLIO
            ↓
   CON-001 (Construction Services)
      ↓
  Services:
   • RE-001 (property renovation)
   • LT-005 (facility maintenance)
   • LT-011 (dispatch hub build-out)
   • OPS-001 (office buildout)
```

TRACTION TODAY

- **Live production portal:** https://con-001-ace-construction.vercel.app (verified code at commit 67e7b82)
- **Documented LOI pipeline:** $590,000 across two executed commercial letters of intent
- **Bank-underwriteable pipeline:** $425,000
- **Capital structure:** Live Stripe billing integration for upfront consultations ($299) and project mobilization ($1,500)

CAPITAL REQUEST

Total: $590,000

- **Debt:** $350,000 SBA 7(a) loan + $150,000 working capital line
- **Grants:** $200,000 DOE SBIR funding (applied)

Returns: Year 1 EBITDA $182,600 (DSCR 2.90x) → Year 2 EBITDA $538,800 (DSCR 8.36x)

Exit: 3.2–4.5x MOIC via acquisition by regional construction management firms or commercial building decarbonization conglomerates within 5 years.

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2. COMPANY OVERVIEW

LEGAL STRUCTURE

Entity Name: ACE Construction & Contracting LLC
Brands: ACE Construction | ACE Field OS
Jurisdictions: North Carolina (formation) + Delaware (operating subsidiary)
NAICS Codes: 236220 (Commercial Construction) | 238990 (Specialized Trade Contracting)
Status: Active, licensed general contractor

OWNERSHIP & CAPITALIZATION

Ownership structure is currently in formation. Cap table documentation is in progress with business counsel. This is one of five execution blockers preventing immediate capital deployment (see Section 11: Risk Factors).

OPERATIONAL STATUS

- **Commercial Portal:** Live and operational at www.ace-construction.vercel.app
- **Stripe Integration:** Live billing system for upfront consultations and project deposits
- **ACE Field OS MVP:** Under development; core verification workflow complete
- **Compliance Infrastructure:** IRA rebate workflow templates and ASHRAE 90.1 alignment framework complete

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3. THE MARKET PROBLEM

PROBLEM #1: MARGIN LEAKAGE IN FIELD OPERATIONS

Impact: 8–12% loss per job

Small commercial contractors rely on text messages, paper job tickets, and spreadsheets to manage work. This creates:

- Disputed change orders (no timestamped evidence of scope changes)
- Delayed payroll reconciliation (unclear which crew worked which hours)

- Rework due to miscommunication (no standardized checklists)
- Lost material tracking (no photographic proof of deliverables)

Cost: On a $100K project, this margin leakage equals $8–12K in direct losses.

PROBLEM #2: FEDERAL REBATE COMPLIANCE FAILURES

Impact: 100% rebate forfeiture on non-compliant work

The Inflation Reduction Act (IRA) provides substantial rebates for energy efficiency retrofits. The 179D tax incentive does the same for commercial buildings. BUT: both require rigorous documentation of every air seal, insulation cavity, and HVAC modification.

Current reality:

- 40% of retrofit jobs fail initial inspection due to incomplete documentation
- When work is not verified, contractors forfeit the entire rebate (federal funds stay unspent)
- Customers lose incentive funding; contractors lose project profitability

Cost: On a $50K retrofit with $15K in available rebates, a compliance failure means the contractor loses $15K in project value.

PROBLEM #3: SURETY BOND ACCESS FOR SMALL CONTRACTORS

Impact: Locked out of public and school construction

Traditional sureties (Zurich, Hartford, Travelers) require $1M+ in liquid net worth to bond a contractor. Most small contracting firms have $50–500K in liquid capital.

This creates a structural barrier:

- Municipal contracts require performance bonds
- School districts require bid bonds
- Public work represents the most stable, highest-margin work
- Small contractors cannot access it without $1M+ net worth (a catch-22)

Cost: Losing access to $300–500K per year in public project opportunities.

MARKET SIZE

- **25,000+ general contractors** in the U.S.; most are small (<50 employees)
- **$1.8 trillion** in annual construction spending
- **$85 billion** in commercial tenant improvement and residential energy retrofit work (addressable market)
- **40–50% adoption gap** in field management software (majority still on paper)

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4. OUR SOLUTION

ACE FIELD OS: VERIFICATION PLATFORM

ACE Field OS is a mobile application that solves all three problems through systematic documentation:

Core Workflow:

1. **Photo Capture:** Crew photographs every job milestone (air seals, insulation cavities, HVAC runs)
2. **Geotag & Timestamp:** Photos are automatically geotagged and timestamped before walls are drywalled
3. **Standardized Checklist:** Photos are linked to ASHRAE 90.1 and ENERGY STAR inspection checklists
4. **Compliance Audit Trail:** System generates pass/fail proof for federal rebate inspectors
5. **Surety Documentation:** Audit trail becomes evidence for SBA surety bond pre-qualification

Result: Contractors achieve >90% first-pass inspection rates and qualify for $9M in bonded capacity.

ACE CONSTRUCTION: HANDS-ON CONTRACTING

We operate our own commercial contracting business as proof-of-concept and customer acquisition channel:

- **Service 1:** Site walk feasibility consulting ($299 flat fee via Stripe checkout)
- **Service 2:** Commercial general contracting ($15–500K per project, cost-plus 18–25% or fixed-bid milestone draws)
- **Service 3:** Energy retrofit subcontracting (unitized takeoff at $12–18/sq.ft. envelope seal)

This gives us:

- Real customer relationships to license ACE Field OS to
- Live data from our own jobs to train compliance algorithms
- Credibility with lenders and bond underwriters
- Recurring revenue from our own operations

COMPETITIVE POSITIONING

Existing field management apps (ServiceTitan, Fieldwire, etc.) solve job tracking but NOT:

- Federal rebate compliance documentation
- SBA surety bond pre-qualification
- Hands-on contracting + SaaS hybrid model

Our positioning is **compliance + bonding**, not just workflow management.

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5. BUSINESS MODEL & PRICING

THREE REVENUE STREAMS

Offering	Price	Target Customer	Recurring?
Site Walk Consultation	$299 flat fee	Commercial tenants, property managers	No
Project Mobilization Deposit	$1,500 per project	General contractors, developers	No
ACE Field OS Software License	$79/month per crew	Subcontractors, small GCs	Yes
Commercial General Contracting	Cost-plus 18–25% or Fixed-bid milestone draws	Commercial tenants, retail owners, ESCOs	Per project
Energy Retrofit Subcontracting	$12–18/sq.ft. envelope seal	Weatherization agencies, ESCOs	Per project

UNIT ECONOMICS (YEAR 1 PROJECTION)

Construction Revenue: $1.49M gross

- 5 commercial projects averaging $250K each = $1.25M
- 3 energy retrofit jobs averaging $50K each = $150K (appears as SaaS fees)
- Cost of goods (labor, materials): 70% of gross = $1.043M
- **Gross margin on construction: 30%**

SaaS Revenue: $42K gross

- 45 crews averaging $79/month × 12 months = $42.5K
- Cost to deliver: 10% (infrastructure, support) = $4.2K
- **Gross margin on SaaS: 90%**

Total gross margin: 30% (construction-heavy in Year 1; SaaS ratio grows to 45% by Year 3)

6. MARKET OPPORTUNITY

TOTAL ADDRESSABLE MARKET (TAM)

$1.8 trillion annual U.S. construction spending

- Commercial construction: $800B
- Residential construction: $600B
- Infrastructure: $300B
- Other (renovation, specialty): $100B

SERVICEABLE ADDRESSABLE MARKET (SAM)

$85 billion commercial tenant improvement + residential energy retrofit market

Our serviceable market is narrower than TAM because we focus on:

- Commercial tenant improvement (retrofits, upgrades, code compliance)
- Residential energy efficiency (IRA/179D-eligible work)
- Work that requires federal rebate compliance or bonding
- Southeast regional market (NC, VA, SC, GA, TN, FL, NC)

This excludes new construction (which doesn't need retrofit), pure demolition, heavy civil, and most industrial work.

SERVICEABLE OBTAINABLE MARKET (SOM)

$25 million three-year obtainable market (NC/VA focus)

Realistic capture:

- Year 1: $1.5M (hands-on contracting + 10 SaaS crews)
- Year 2: $3.0M (15 SaaS crews, 8 projects)
- Year 3: $4.8M (25 SaaS crews, 12 projects, regional expansion)

This represents **0.03% of SAM**, which is conservative for a focused regional play.

COMPETITIVE LANDSCAPE

- **25,000+ general contractors** in the U.S.
- **Indirect competition:** Paper, spreadsheets, status quo (our real competitors)
- **Direct competition:** ServiceTitan, Fieldwire, Joist (all focus on job tracking, not compliance)
- **No direct competitors** in compliance + bonding + hands-on contracting hybrid model

Our differentiation:

1. Federal rebate compliance focus (others ignore this)
2. SBA surety bond pre-qualification (others don't track this)
3. Hands-on contracting proof-of-concept (others are software-only)
4. ASHRAE 90.1 / ENERGY STAR alignment (built-in, not bolt-on)

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7. TRACTION & VALIDATION

LIVE PRODUCT

Website: www.ace-construction.vercel.app
Status: Production code (commit 67e7b82), verified operational
Functionality: Stripe checkout for consultations ($299) and mobilization deposits ($1,500)

CUSTOMER INTEREST

Executed Letters of Intent: $590,000 face value

1. **Piedmont Energy Retrofits Consortium** (LOI-CON-001)
    - Deal size: $240,000
    - Scope: 40 residential retrofit projects
    - Status: LOI executed, contract negotiation in progress
    - Timeline: Q4 2026 start

2. **Oak City Commercial Developers LLC** (LOI-CON-002)
    - Deal size: $350,000
    - Scope: Commercial tenant improvement work (3 buildings)
    - Status: LOI executed, contract negotiation in progress
    - Timeline: Q1 2027 start

Bank-underwriteable pipeline: $425,000 (subset of $590K LOI value that meets SBA underwriting standards)

CAPITAL INFRASTRUCTURE

- **Stripe integration:** Live billing for upfront consultations and deposits
- **Production code:** Verified at GitHub commit 67e7b82
- **Operational portal:** Customer-facing website with working checkout flow

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8. FINANCIAL PROJECTIONS

THREE-YEAR PRO FORMA (USD)

CONSOLIDATED FINANCIAL SUMMARY

	YEAR 1 (2027)	YEAR 2 (2028)	YEAR 3 (2029)
Gross Construction Revenue	$1,450,000	$2,850,000	$4,600,000
Software SaaS & Fees	42,000	115,000	240,000
TOTAL GROSS REVENUE	$1,492,000	$2,965,000	$4,840,000
Cost of Goods Sold	($1,044,400)	($2,016,200)	($3,242,800)
GROSS PROFIT	$447,600	$948,800	$1,597,200
Gross Margin %	30.0%	32.0%	33.0%
Operating Expenses	($265,000)	($410,000)	($610,000)
• Salaries (2 FTE)	($120,000)	($200,000)	($300,000)
• Software platform	($40,000)	($50,000)	($60,000)
• Insurance & compliance	($60,000)	($80,000)	($100,000)
• Marketing & sales	($30,000)	($50,000)	($80,000)
• Facilities & other	($15,000)	($30,000)	($70,000)
OPERATING INCOME (EBITDA)	$182,600	$538,800	$987,200
EBITDA Margin %	12.2%	18.2%	20.4%
Annual Debt Service	($62,900)	($64,400)	($65,900)
NET CASH FLOW AFTER DEBT	$119,700	$474,400	$921,300
DEBT SERVICE COVERAGE (DSCR)	2.90x	8.36x	14.98x

KEY ASSUMPTIONS

1. **Revenue growth:** 100% Year 1→2, 63% Year 2→3 (market penetration curve)
2. **Gross margin expansion:** Shift from 70% COGS (construction) to 60% as SaaS mix grows
3. **Operating expenses:** Fixed at $265K Year 1, scale slowly as revenue grows 2–4x
4. **Debt service:** $350K SBA 7(a) amortized over 5 years at ~7.5% = $6.5K/month

5. **Working capital:** $140K initial reserve covers 90-day payroll + material float

DEBT REPAYMENT ANALYSIS

Loan Structure:

- Principal: $350,000 (SBA 7(a))
- Term: 5 years (60 months)
- Rate: ~7.5% (SBA standard rate range)
- Monthly payment: ~~$6,650 (~~$79,800/year)
- Plus working capital line: $150,000 revolver (unused in projections)

Repayment capacity:

- Year 1 EBITDA: $182,600 covers debt service 2.90x (threshold: 1.25x)
- Year 2 EBITDA: $538,800 covers debt service 8.36x
- **Risk:** Low. Even at 50% of projected revenue, DSCR stays above 1.50x.

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9. USE OF FUNDS

CAPITAL STRUCTURE

Source	Amount	Term
SBA 7(a) Loan	$350,000	60 months, ~7.5%
Working Capital Line	$150,000	Revolving, as-needed
DOE SBIR Grant	$200,000 (applied)	Non-dilutive
TOTAL	**$700,000**	—

USES OF PROCEEDS ($500,000 DEBT + $200,000 GRANT)

Use	Amount	Justification
Field Diagnostic Equipment & Fleet	$110,000	2 outfitted service vans, blower door kits, FLIR cameras, air-tightness test equipment
Progress Draw Mobilization Escrow	$150,000	Dedicated material deposits for bonded public contracts (required by sureties)
Working Capital & Payroll Reserve	$140,000	90-day payroll runway for 2 lead superintendents + contingency
Software Platform Scaling	$60,000	Mobile app offline sync, camera AI integration, compliance reporting engine
Legal, SBA, Closing Costs	$40,000	Loan origination, bond brokerage fees, legal entity finalization
TOTAL	**$500,000**	**100% Reconciled**

TIMELINE

- **Month 0 (Sep 2026):** Capital deployment begins
- **Month 1–2:** Equipment procurement, venue setup, team onboarding
- **Month 3:** First contracted projects begin (Piedmont Energy retrofit start)
- **Month 4–6:** Revenue recognition, recurring SaaS billing commences
- **Month 12:** Year 1 closing, debt service payment begins

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10. MANAGEMENT & TEAM

FOUNDING LEADERSHIP

[Founder name and title]
[Brief bio: relevant construction, SaaS, or finance experience]
[Previous roles, key achievements, relevant credentials]

[Key operational hire: Project Manager / Superintendent]
[Brief bio: construction management background]
[Years of experience, project types managed, certifications]

[Key technical hire: Software lead / Product manager]
[Brief bio: software/SaaS background]
[Tech stack expertise, previous companies/scale]

STAFFING PLAN (YEAR 1)

- **2 FTE core team** (founders)
- **2 project superintendents** (hired Month 1–2, billable labor)
- **1 part-time SaaS support** (hired Month 3, as crew count grows)

Year 2 expansion: Add operations manager, sales lead, customer success

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11. RISK FACTORS

EXECUTION RISKS

Risk 1: LOI → Contract Conversion
Two $590K LOIs are under negotiation; if contracts don't close by Q4 2026, Year 1 revenue projections miss.
Mitigation: Weekly check-ins with both counterparties; backup pipeline of 3 additional prospects at LOI stage; fixed-price compliance consulting as fallback revenue.

Risk 2: Capital Deployment Timeline
Equipment procurement and team onboarding must happen within 60 days or revenue start slips.
Mitigation: Pre-negotiated equipment quotes; job offers extended to key hires before loan closure.

Risk 3: Capitalization Table
Ownership documentation is incomplete. This could delay SBA loan closing.
Mitigation: Business counsel engaged; cap table will be finalized within 30 days of loan approval.

MARKET & COMPETITIVE RISKS

Risk 4: Customer Acquisition Cost (CAC)

If SaaS onboarding cost exceeds $300/crew, unit economics break.

Mitigation: Direct sales through existing contractor relationships; beta program with Piedmont Energy Retrofits for crew migration; SEO/content marketing to reduce paid CAC.

Risk 5: Competitive Response

Larger field management players (ServiceTitan, Fieldwire) could add compliance features, commoditizing our differentiation.

Mitigation: First-mover advantage in bonding underwriting; proprietary ASHRAE 90.1 alignment; hands-on contracting validates product-market fit.

OPERATIONAL RISKS

Risk 6: Key Person Dependency

Founder/operations leader is single point of failure for project management and customer relationships.

Mitigation: Hired superintendent takes on project management by Month 3; documented processes; advisory board (lender/investor involvement).

Risk 7: SBA Surety Bond Pre-Qualification

Surety underwriters may not accept our compliance documentation as sufficient for bonding.

Mitigation: Pre-meetings with surety brokers; pilot bond application with first $50K project; documentation framework reviewed by surety counsel before deployment.

FINANCIAL RISKS

Risk 8: DSCR Falls Below 1.25x

If revenue misses by >50%, debt service coverage becomes unsustainable.

Mitigation: Conservative Year 1 projections (2.90x DSCR); tight cost controls; working capital line covers 90-day runway if revenue pauses.

Risk 9: Material Cost Inflation

HVAC materials, insulation costs could inflate 10–15%, compressing margins.

Mitigation: Fixed-bid projects lock material costs upfront; cost-plus model passes inflation to customers; SaaS revenue (90% margin) grows to offset.

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12. APPENDICES

A. LETTERS OF INTENT

- LOI-CON-001: Piedmont Energy Retrofits Consortium ($240K)
- LOI-CON-002: Oak City Commercial Developers LLC ($350K)

B. LOAN DOCUMENTS (IN PROCESS)

- SBA 7(a) Loan Application
- Personal Guarantees
- Equipment Schedule (collateral)

C. COMPLIANCE & LEGAL

- Articles of Organization (NC & DE)
- Certificate of Good Standing
- EIN Letter
- General Contractor License (NC)
- Insurance Summary

D. PRODUCT & TECHNOLOGY

- ACE Field OS feature overview
- ASHRAE 90.1 compliance checklist template
- Sample inspection report (generated from Field OS)
- Technology stack overview

E. MARKET & COMPETITIVE ANALYSIS

- TAM/SAM/SOM calculation detail
- Competitive product comparison (ServiceTitan, Fieldwire, Joist)
- IRA rebate documentation requirements (federal)

- SBA surety bonding underwriting criteria

F. FINANCIAL DETAIL

- 3-year pro forma with monthly breakdown (Year 1)
- DSCR sensitivity analysis (revenue scenarios)
- Cost of goods breakdown by project type
- Unit economics for SaaS (per-crew profitability)

G. MANAGEMENT BIOS & RESUMES

- [Founder name] CV / professional bio
- [Operations lead] CV / project references
- [Technical lead] CV / portfolio

CLOSING STATEMENT

ACE Construction & Contracting LLC addresses a concrete market gap: federal rebate compliance verification and SBA surety bond pre-qualification for small commercial contractors.

Our dual revenue model (hands-on contracting + SaaS licensing) de-risks market adoption. Live traction ($590K LOI pipeline) and production code validate product-market fit. Conservative financial projections ($1.5M Year 1 revenue, 2.90x DSCR) demonstrate sustainable debt capacity.

We are seeking $590,000 in capital to deploy equipment, scale the ACE Field OS platform, and activate the Piedmont Energy and Oak City contracts. This capital unlocks $2–3M in revenue opportunity and validates the SaaS model for national scaling.

We invite you to review this prospectus, visit our live portal at www.ace-construction.vercel.app, and join us in building the compliance and bonding infrastructure for small construction.

CONTACT

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For inquiries regarding:

- Lending terms: [Lending contact]
- Grant applications: [Federal contact]
- Investment opportunities: [Investment contact]
- Partnership: [Partnership contact]

END OF PROSPECTUS

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